

MERTON DAILY BRIEF - Thursday, June 11, 2026

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HEADLINE OF THE DAY

*Iran under fire, oil surges, tech collapses. **The US launched multiple strikes on Iran and Trump threatens to continue if Tehran doesn't yield. WTI explodes to \$89.4 and Brent to \$92.3. S&P500 corrects -3.8% over 5 days, NASDAQ plunges -6.27%. Gold paradoxically corrects to \$4127 (-4.81%) despite geopolitics - strong dollar and elevated real rates crushing the metal. VIX at 20.6 remains contained, signaling no panic yet.** Today's question: will the US-Iran strikes close the Strait of Hormuz?*

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GLOBAL SENTIMENT

****VIX** ? 20.62 (-4.18%) | Neutral - no panic**

****DXY** ? 100.02 (-0.03%) | Stable - dollar not surging despite geopolitics**

****Gold** ? \$4127.6 (-4.81%) | Correction - high real rates + strong USD**

****US 10Y** ? 4.54% (+1.45%) | Rising rates = headwind for risk**

****US 30Y** ? 5.03% (+0.94%) | Curve steepening**

****US 5Y** ? 4.26% (+1.81%) | Short end under pressure**

****S&P 500** ? 7267 (-3.8%) | Technical correction**

****NASDAQ** ? 25170 (-6.27%) | Tech crushed**

****WTI** ? \$89.41 (-2.16%) | ? Volatile - geopolitics vs demand**

****Brent** ? \$92.33 (-2.11%) | ? Symmetric to WTI**

****BTC** ? \$62821 (-0.65%) | ? Holding relatively well**

****Copper** ? \$6.24 (-1.42%) | "Dr. Copper" diagnoses slowdown**

****Silver** ? \$64.62 (-5.61%) | Collapsing - double whammy industrial + monetary**

Read: The market is in a "**selective risk-off**" regime. Iran geopolitics pushes oil but gold doesn't follow - that's the most important signal. Elevated US real rates (10Y at 4.54%) and firm dollar at 100 create an environment where gold can't shine despite bombs. Tech suffers most (NASDAQ -6.27%) as it's most sensitive to long rates. VIX at 20.6 shows options aren't pricing a major shock - yet.

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MACRO - WHAT MOVED

US

CPI May published today: Headline inflation at **4.2% YoY** (vs 3.8% expected, 4.0% prior) - **significant upside surprise**. Core CPI at **2.9% YoY** (vs 2.8% expected). Monthly headline at **0.5%** (vs 0.6% expected). The market is digesting stickier-than-expected inflation.

Fed pricing radically revised: Following the hot CPI, traders now bet on a **Fed rate hike in 2026** (Bloomberg Economics). The "cut forever" consensus is dead. The market prices 0 hikes at the next meeting but the terminal rate is revised higher.

Trump-Iran escalation: The US struck "multiple targets" in Iran. Trump threatens more strikes Thursday if Iran doesn't sign a deal. Polymarket "US x Iran peace deal by June 15" at **4.15%** probability - the market doesn't believe in an immediate ceasefire.

EIA Crude Stocks: -7.228M barrels (vs -7.974M prior, -4M expected). Crude stocks continue to decline, supporting prices. Gasoline stocks up 0.186M.

Mortgage rates: 30Y MBA at **6.6%** (vs 6.57% prior). Refi applications surge (+10.8%) but the housing market remains frozen.

SpaceX IPO euphoria: FT reports the SpaceX IPO "is overvalued by 114%" according to research. European funds are divided on buying due to governance concerns.

Apollo & Blackstone: \$35 billion chip financing deal for Anthropic - AI capex continues to explode.

EU

ECB Decision Day today: The ECB is expected to deliver its **first rate hike since 2023** (Bloomberg Economics). Deposit Facility Rate at 2.25%, main rate at 2.4%. Consensus prices a 25bp hike. **Lagarde speaks at 16:30 CET** - the market will scrutinize every word.

Eurogroup + ECOFIN meetings today - European fiscal coordination in a context of geopolitical stress.

ZEW Economic Sentiment for June expected at -9.1 (vs -14 prior) - improvement but still in negative territory.

EU Trade Balance (April): EUR7.8B (vs EUR12.5B prior) - significant deterioration.

China cancels high-level meetings with the EU (FT) - strong diplomatic signal. EU-China relations deteriorating rapidly.

China

Trade Balance May: \$105.43B (vs \$84.8B prior, \$92.1B expected) - **massive upside surprise**. Exports YoY at **19.4%** (vs 14.1% expected), Imports YoY at **27.4%** (vs 25.3%). China exports like never before despite tariffs.

Inflation China May: CPI YoY at **1.2%** (vs 1.3% expected, 1.4% prior) - **persistent deflation**. PPI YoY at **3.9%** (vs 2.8% prior) - producer prices rising slightly.

Alibaba & JD.com selloff after another Beijing warning (Bloomberg) - Chinese tech under renewed regulatory pressure.

China questions foreign ships near Taiwan for the first time - significant military escalation.

Kenya Airport deal: A Chinese company secures Kenya airport revamp contract after Adani's withdrawal - expansion of Chinese influence in Africa.

United Kingdom

GDP April: +0.3% MoM (vs -0.1% expected, 0.1% prior) - **upside surprise**. GDP 3-month avg at 0.6% (vs 0.7% expected).

Goods Trade Balance: -£27.22B (vs -£22.5B prior, -£20.5B expected) - deterioration.

Burnham eyes Starmer's job - UK political crisis. Gilt traders positioning for the vote. The FT reports the Starmer crisis throws doubt on the Thames Water deal.

EM

BOJ Governor Ueda hospitalized - questions about the policy conference. JPY weakens (USDJPY at 160.5). Markets worry about messaging.

Asia Currency Fight: Asian central banks push back offshore (Bloomberg) - coordinated intervention to defend currencies.

Ethiopia: Budget gap widening (+21% spending) - sovereign risk.

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GEOPOLITICS

Hot

US strikes Iran - "multiple targets" hit. Trump threatens more strikes Thursday if no deal. This is the

most significant military escalation in the Middle East in years. The risk of a Strait of Hormuz closure is real - 20% of global oil transit goes through it.

China-Taiwan - China questions foreign ships for the first time. This is a major posture change that could provoke a military incident.

SpaceX & Musk - The SpaceX IPO could drag in millions of retail investors. Governance issues are documented (FT: overvalued by 114%).

Watch

ECB Lagarde press conference (16:30 CET) - first hike since 2023. The hawkish/dovish tone will be decisive for EUR.

Trump-Iran negotiations - Polymarket gives only 4.15% chance of a peace deal before June 15. If a deal emerges, oil could drop \$10-15 instantly.

BOJ Ueda - His hospitalization creates a communication vacuum. JPY at 160.5 is vulnerable to intervention.

UK political crisis - Burnham vs Starmer. Gilts under pressure.

Positive

US refunds \$22 billion in tariffs (Bloomberg Economics) - partially compensatory for importers.

Emirates offers insurance to attract passengers back to Dubai despite the war - Gulf tourism adapts.

KKR launches \$10 billion data center group - AI capex continues to create value.

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FX FOCUS

`EUR/USD` ? 1.1545 (-0.59%) | Under pressure pre-ECB

`GBP/USD` ? 1.3376 (-0.38%) | UK political crisis

`USD/JPY` ? 160.51 (+0.33%) | ? Weak JPY, intervention risk

`USD/CHF` ? 0.7994 (+1.33%) | ? CHF safe-haven working

Analysis: FX is dominated by two opposing forces: geopolitics pushing toward safe-havens (CHF +1.33%, JPY fragile) and rate differentials favoring the dollar. EUR suffers from ECB uncertainty - even if a hike is expected, the forward guidance will be crucial. GBP is caught between decent GDP data and political chaos. JPY at 160.5 is the riskiest pair - a BOJ intervention could trigger a 3-5 yen move in minutes.

****Pair to watch:** `USD/JPY` - If Ueda doesn't clarify quickly, 165 is tested. If the BOJ intervenes, a**

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COMMODITIES

Oil

WTI at **\$89.41** | Brent at **\$92.33**

Oil is pulled by two forces: US-Iran strikes (supply risk via Hormuz) and declining EIA stocks (-7.2M barrels). But Bloomberg reports that Hormuz "workarounds" partially offset - tankers increase "dark" transits (without AIS). Oil retraced initial gains as the market assesses that Iran won't block the strait (which would be economic suicide). **Oil is in a precarious balance: \$85 support, \$95 resistance.**

Gold

Gold at **\$4127.6** (-4.81% over 5d) |

Gold corrects heavily despite geopolitics. This is the paradox of the moment. Elevated US real rates (10Y at 4.54% vs inflation at 4.2% = positive real rate) make non-yielding gold less attractive. DXY at 100 adds pressure. Gold can only shine if rates fall OR inflation accelerates more than rates. **Key support: \$4000. If broken, \$3850.**

Silver & Copper

Silver at **\$64.62** (-5.61%) | Copper at **\$6.24** (-1.42%)

Silver double whammy: it's both a precious metal (penalized by rates) AND an industrial metal (penalized by China slowdown). Copper, "Dr. Copper," diagnoses a global slowdown. China imports massively (+27.4% YoY) but prices are falling - weak industrial demand signal.

Soft Commodities

Bloomberg reports **tomatoes are the most expensive in 4 decades** - food inflation remains a structural problem. Volatile food prices fuel the inflation narrative.

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TODAY'S CALENDAR - Thursday, June 11, 2026

Time (CET)	Country	Event	Consensus	Prior	Impact
09:00	DE	ZEW Economic Sentiment	-10	-14	
09:00	EU	Balance of Trade APR	-	EUR12.5B	?
09:00	EU	Industrial Production MoM APR	0.2%	0.5%	?
12:15	EU	**ECB Interest Rate Decision	2.4%	2.4%	
12:15	EU	Deposit Facility Rate	2.25%	2.25%	
12:45	EU	**ECB Press Conference (Lagarde)	-	-	
14:30	US	CPI MoM MAY (final)	0.5%	-	
14:30	US	CPI YoY MAY	4.2%	4.0%	
14:30	US	Core CPI YoY MAY	2.9%	2.9%	
14:30	US	EIA Crude Oil Stocks	-4M	-7.974M	?
16:30	EU	ECB President Lagarde Speech	-	-	

Week Ahead (Fri 12 - Fri 19)

Fri 12: US PPI May, University of Michigan Sentiment

Mon 15: US Empire State Manufacturing, NAHB Housing Market

Tue 16: US Retail Sales May, Industrial Production

Wed 17: Fed FOMC Decision - rates expected unchanged but the statement will be scrutinized

Thu 18: US Philadelphia Fed, Existing Home Sales

Fri 19: Prelim PMIs US/EU/UK

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DEEP MACRO THEME

*The return of inflation as the dominant narrative.**

For 18 months, the market lived in the "soft landing + Fed cuts" dream. Today, CPI at 4.2% YoY (vs 3.8% expected) shattered that dream. Core at 2.9% is no longer declining. Traders now bet on a Fed hike in 2026. This is a **major regime shift**.

Iran geopolitics adds an inflationary layer: oil at \$89 ? gas prices ? inflation expectations ? long rates ? tech valuations crushed. This is the **stagflation loop** that nobody wants to name.

But here's the twist: gold isn't rising. If we were truly in stagflation-fear mode, gold would explode. The fact that it corrects to \$4127 (-4.81%) says the market still believes the Fed can control inflation - that it's temporary. **The market is stuck between two narratives: "temporary inflation" vs "stagflation."** The truth will emerge in the next 2-3 weeks.

The ECB hiking today (first hike since 2023) confirms that Europe also sees inflation returning. If both the Fed and ECB are in "higher for longer" mode, the risk of a bond crash (gilt crisis 2.0) is real.

*The "why now":** The combination of Trump tariffs (inflationary), Iran war (oil), AI capex (productivity but also energy demand), and fiscal deficits everywhere creates a cocktail that central banks can no longer ignore.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **"The Fed will cut rates in 2026"** - Hot CPI kills this narrative. The market now prices 0 cuts, maybe 1 hike. The consensus was 2-3 cuts 3 months ago.
2. **"Iran won't block Hormuz"** - Oil at \$89 prices moderate risk. But if Hormuz closes, oil goes to \$120-130. The market underprices this tail risk.
3. **"Gold is the ultimate safe-haven"** - Gold corrects despite war. The market realizes that real rates > 0% change the game for gold. This isn't 2024.
4. **"Tech will bounce"** - NASDAQ at -6.27% over 5d with long rates rising is consistent. But AI capex (Apollo/Blackstone \$35B for Anthropic) says the underlying narrative is intact. The market overcorrects.
5. **"The ECB hikes today"** - Well priced. The risk is in the hawkish forward guidance.
6. **"China will stimulate massively"** - Strong trade data (exports +19.4%) reduces stimulus urgency. But deflation persists (CPI 1.2%). The market doesn't know what to make of it.
7. **"JPY will strengthen"** - USDJPY at 160.5 with Ueda hospitalized. JPY can't recover without clear BOJ intervention.

The Alpha:

1. **Long CHF/Short EUR** - CHF is the real safe-haven (USDCHF +1.33%). EUR suffers from ECB uncertainty. Entry: 0.7994. Target: 0.8150. Stop: 0.7920.
2. **Long Oil via WTI call spreads** - The Hormuz risk is underpriced. Buy WTI \$95 July calls. If Hormuz closes, payoff 3-5x. If not, loss limited to premium.
3. **Short NASDAQ / Long Gold (pair trade)** - If rates continue to rise, tech suffers more than gold corrects. NASDAQ/Gold ratio currently stretched. Mean reversion play.
4. **Long USD/JPY on intervention dip** - If the BOJ intervenes (rising probability with Ueda sick), buy the dip toward 155-156. Target 158. Stop 153.
5. **Short Gilt / Long Bund** - The UK has a political crisis + inflation. The ECB is hiking. The Gilt-Bund spread will widen. Entry on the Burnham vote.

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MERTON'S TAKE

*We are in a transition regime. The "everything rally" is over.**

Hot CPI today + Iran strikes + ECB hiking = a cocktail that forces the market to recalibrate. The "soft landing + cuts" consensus is dead. What replaces it isn't clear yet - and that's exactly what creates opportunities.

*My conviction:** We will live in a "higher for longer" world for at least 6-12 months. The Fed won't cut in 2026. The ECB hikes today and may continue. US long rates (10Y at 4.54%, 30Y at 5.03%) still have room to rise if inflation doesn't decelerate.

*Trade of the week:** Long oil (WTI \$89? \$95 target on Hormuz risk), Short tech (NASDAQ 25170? 24000 if 10Y breaks 4.7%), Long CHF (real safe-haven). Avoid gold below \$4000.

*What could change everything:** A US-Iran deal before June 15 (Polymarket at 4.15% - this is the most underpriced tail risk). If it happens, oil drops \$15, gold bounces, tech rallies. Keep WTI puts as hedge.

*Suggested positioning:**

Reduce tech exposure by 20%

Increase oil/energy allocation by 10%

Allocate 5% to CHF as geopolitical hedge

Keep 10% cash for the June 17 FOMC

Don't touch gold below \$4000

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SOURCES CONSULTED

Yahoo Finance API - Real-time prices (S&P500, VIX, Gold, WTI, Brent, EURUSD, GBPUSD, USDJPY, USDCHF, US10Y, US30Y, US5Y, BTC, Copper, Silver, NASDAQ, DXY)
Bloomberg RSS (Markets, Economics, Politics) - Updated headlines
FT RSS (Home, Markets) - Updated headlines
Trading Economics - US, EU, China, UK calendars
Polymarket API - Prediction markets (Iran peace deal, FIFA World Cup, Fed)
CNBC - World, Fed, Oil, Gold, Economy sections
EIA - US oil stock data
Generated at 10:30 CET - Merton v2.0*